**Before the Public Service Commission**

**THE BROOKLYN UNION GAS COMPANY D/B/A NATIONAL GRID NY**
**And**
**KEYSPAN GAS EAST CORPORATION D/B/A NATIONAL GRID Direct**

**Testimony**

**of**

**Patric O'Brien**

**Dated: April 28, 2023**

**Testimony of Patric O'Brien**

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**Testimony of Patric O'Brien**

## I. Introduction and Qualifications

**Q. Please state your name and business address.**

A. My name is Patric R. O'Brien. My business address is 170 Data Drive, Waltham, Massachusetts 02451.

**Q. By whom are you employed and in what capacity?**

A. I am employed by National Grid USA Service Company, Inc., a subsidiary of National Grid USA ("National Grid" or the "Company"), as Vice President, Regulation and Pricing. My responsibilities include overseeing regulatory matters for National Grid's New York businesses, including The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY"), KeySpan Gas East Corporation d/b/a National Grid ("KEDLI"), and Niagara Mohawk Power Corporation d/b/a National Grid ("NMPC").

**Q. Please describe your educational background and business experience.**

A. I received a Bachelor of Science in Sociology with a concentration in Criminology and Law from Suffolk University in 1997 and a Juris Doctorate from New England School of Law in 2001. I have worked for National Grid for over 14 years, primarily as an attorney holding various roles of increasing responsibility within the Legal department. In 2021, I became the Vice President of New York Compliance where I was

responsible for establishing a framework to ensure compliance with all regulatory requirements in New York. A critical component of this framework was second line assurance controls testing. I assumed my current role in January 2023.

## II. Purpose of the Testimony

**Q. What is the purpose of your testimony?**

A. The purpose of my testimony is to describe the status of the Commission's Comprehensive Management and Operations Audit of National Grid's New York electric and gas businesses in Case 18-M-0195 ("Management Audit"), that was originally conducted by Saleeby Consulting Group ("SCG") but completed by Department of Public Service Staff ("DPS Staff").

**Q. Are you sponsoring any exhibits through your testimony?**

A. Yes. I sponsor one exhibit that was prepared under my direction and supervision:

- Exhibit ___ (PRO-1) is a copy of a letter dated March 20, 2023 from DPS Staff accepting as complete all recommendations from the Management Audit.

## III. Management Audit Update

**Q. Please provide a brief summary of the Management Audit process.**

A. On May 17, 2018, the New York State Public Service Commission ("Commission") issued an "Order Instituting Proceeding and Authorizing Issuance of a Request for Proposals" ("Audit Order") for an independent consultant to conduct a Management Audit of National Grid's New York electric and gas businesses in accordance with Section 66(19) of the Public Service Law ("PSL"). In September 2018, the Commission selected SCG to conduct the Management Audit under the supervision of DPS Staff. From November 2018 through October 2019, SCG audited National Grid's New York electric and gas businesses, focusing on 12 traditional audit areas:

- Corporate Governance
- Information Systems
- Electric Planning and Grid Modernization
- Electric Load Forecasting and Supply Procurement
- Gas Planning
- Gas Safety
- Budgeting and Finance
- Project Management
- Program Management

- Work Management
- Performance Management
- Customer Operations

In October 2019, DPS Staff informed the Company they were terminating the contract with SCG, due to no fault of National Grid. In December 2019, DPS Staff advised they would complete the Management Audit based primarily on the interviews and materials already obtained from National Grid, with additional interviews and information requests, as necessary.

DPS Staff conducted a thorough and professional audit marked by open and productive discussions among the parties. Throughout, National Grid was fully committed to the Management Audit with the goal of demonstrating its full capabilities and receiving meaningful feedback that would drive useful recommendations to improve the Company's electric and gas operations for the benefit of its customers. Over the course of almost two years, the Company:

- Spent thousands of man hours on the audit;
- Answered more than 1,400 information requests;
- Participated in almost 300 interviews, including interviews of senior executives, US President, Global CEO, and Board of Directors;

- Supported field visits across the Company's New York service territory; and
- Held multiple technical sessions on various topics.

**Q. Please describe the results of the Management Audit.**

A. In September 2020, DPS Staff completed its final audit report ("Management Audit Report") for Commission consideration. The report described generally strong performance by National Grid's New York business in a number of key functional areas, including electric and gas operations, performance and project management, capital delivery, budgeting and finance, and customer service. The Management Audit Report also acknowledged the efforts undertaken by National Grid to manage customer bill impacts through the Company's aggressive efficiency programs. The Management Audit Report offered 24 recommendations aimed at improving National Grid's performance. The Commission released the Management Audit Report on November 19, 2020.

While the Company did not agree with all of DPS Staff's findings and conclusions, National Grid acknowledged that, overall, DPS Staff's recommendations provided a set of constructive proposals to enhance the day-to-day performance of the New York electric and gas businesses.

Accordingly, National Grid generally accepted the recommendations presented in the Management Audit Report.

On December 21, 2020, pursuant to PSL Section 66(19), the Company filed an initial Implementation Plan with the Commission detailing its plans to implement the Management Audit recommendations.

**Q. Did the Commission accept National Grid's Implementation Plan?**

A. Yes. On May 13, 2021, the Commission issued an "Order Approving an Implementation Plan" ("May 2021 Order"). In the May 2021 Order, the Commission approved National Grid's Implementation Plan and directed the Company to implement the proposed actions described therein.

**Q. What does the May 2021 Order require with regard to reporting on the status of the Implementation Plan?**

A. National Grid must file a written update to the Implementation Plan at least every three months. The update must describe the implementation status of each recommendation, implementation action steps (major activities), and the deliverables identified in the Implementation Plan. To date, the Company has submitted ten updates to the Implementation Plan. These

reporting requirements continue until Staff determines that the Implementation Plan is fully implemented.

**Q. What is the current status of the Company's compliance with the Implementation Plan?**

A. As set forth in Exhibit ___ (PRO-1), on March 20, 2023, DPS Staff informed the Company that it had accepted as complete all recommendations from the Management Audit. The March 20, 2023 letter closes the Management Audit.

## IV. Management Audit Costs

**Q. Does the revenue requirement include costs associated with the Management Audit or future management audits?**

A. No. There are no Management Audit costs in the Historic Test Year. Similarly, KEDNY and KEDLI did not reflect any future audit costs in the Rate Year or Data Years because the timing of the next management and operational audit is unknown. If the Commission were to undertake a future management or operational audit, the Company's expectation is that it would be able to defer those costs for future recovery.

## V. Conclusion

**Q. Does that conclude your testimony?**

A. Yes, it does.

## INDEX OF EXHIBITS

**Exhibit ___ (PRO-1):** Comprehensive Management and Operations Audits of National Grid USA's New York Electric and Gas Utilities Close Letter

**Exhibit ___ (PRO-1)**
**Comprehensive Management and Operations Audits of National Grid USA's New York Electric and Gas Utilities Close Letter**

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March 20, 2023

Patric O'Brien
Vice President Regulation and Pricing
National Grid USA
40 Sylvan Road
Waltham, MA 02451

SUBJECT: Case 18-M-0195 – Proceeding on Motion of the Commission to Conduct a Comprehensive Management and Operations Audits of National Grid USA's New York Electric and Gas Utilities.

Dear Mr. O'Brien:

The Office of Accounting, Audits and Finance of the Department of Public Service confirms the completion of National Grid USA's implementation of recommendations from Case 18-M-0195. Based on Staff's review of the Implementation Plan Update dated January 30, 2023, all recommendations have been implemented by National Grid. The update reports have contained sufficient details about the completion of all recommendations to satisfy Staff that the recommendations have been implemented.

Thank you for your efforts on this important project.

Sincerely,

*Jeffrey S. Hogan*

Jeffrey S. Hogan
Director
Office of Accounting, Audits
and Finance